out. We are also proposing to encourage market making in specific G-Sec instruments by involving primary dealers.

One way to bring liquidity to corporate debt is to enable them to be used as collateral in repo transactions with the central bank, with appropriate haircuts, of course. As banks become able to borrow against their high quality corporate bonds, yields will fall, and more issuers will come to the market. With this in mind, we have initiated the process with the government to amend the RBI Act to allow the RBI to conduct repos of corporate bonds with banks and other financial institutions.

RATINGS, CONTINGENT SUPPORT, AND SUPPLY

The ratings put out by credit rating agencies are important in assuring arm's length investors about corporate credit quality. In order for their ratings to be accurate, agencies need both up-to-date information, as well as good analysis. Agencies have asked the RBI to give them information about corporate bank borrowings. Since these are available from the credit information bureaus (CIBs), the RBI has suggested the credit-rating agencies become members of CIBs. I do hope that incidents where a highly rated corporate bond plummets without warning into default will become increasingly rare as rating agencies exercise due diligence.

Some have argued that the easy access to bank cash credit keeps large corporations from going to the money and bond markets for funds. This phenomenon also raises bank exposures to single names or groups, increasing their risk concentration. While, as suggested earlier, we are seeing some movement of corporations to the money and bond markets in this period of bank stress, we will nudge corporations further by imposing higher provisioning and capital requirements for banks on such corporate lending when exposures become large.